IS 4480

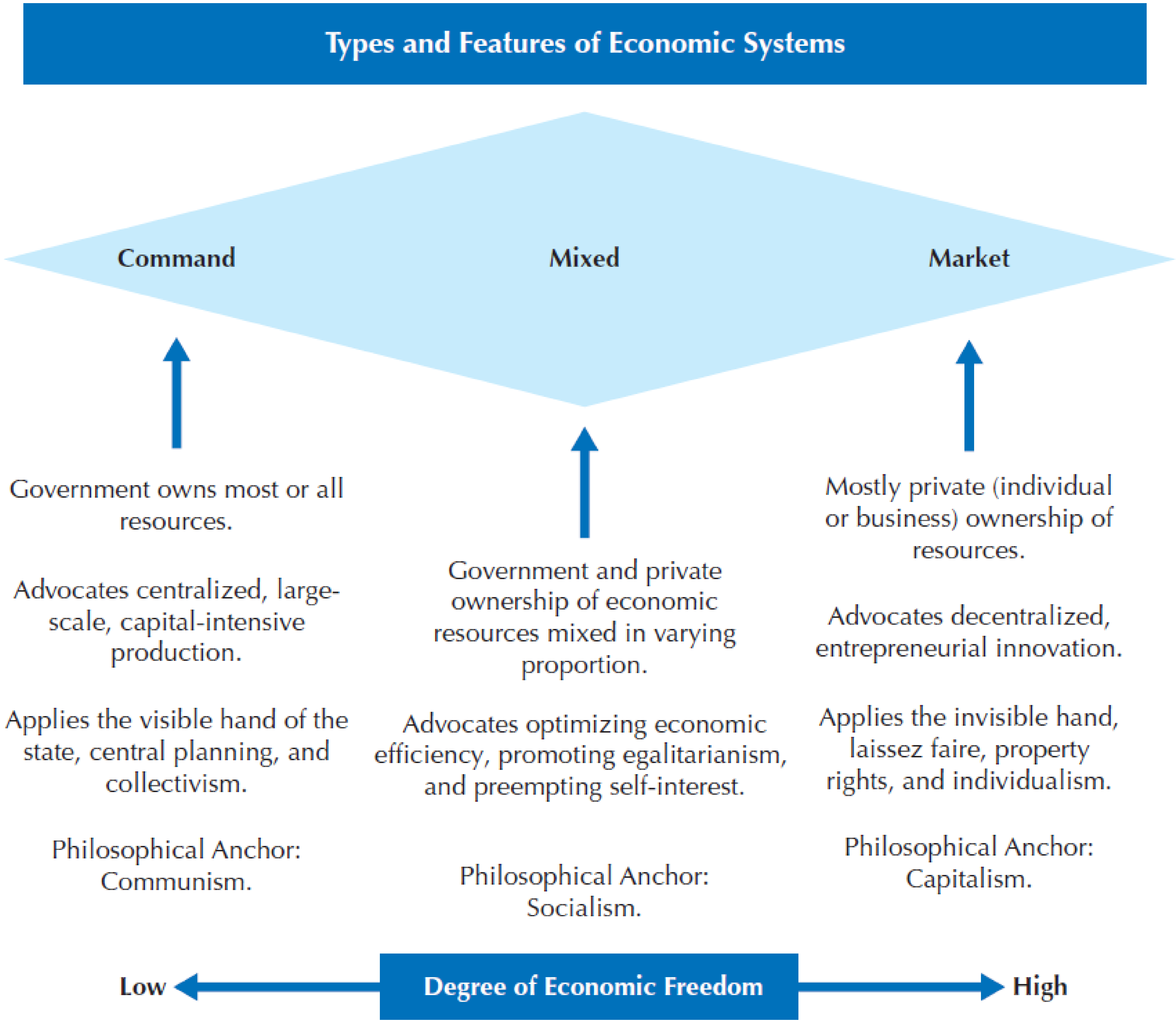
WORLD ECONOMIC SYSTEMS & TRADE BLOCS

Department of Interdisciplinary Studies

WHAT IS AN ECONOMIC SYSTEM?

- An economic system is the way a country or society organizes and manages its resources, production, and distribution of goods and services.
- It determines who gets what, how much things cost, and how wealth is distributed among people.
- Evaluating the particular type of economic system in a country enhances analysis.
- This perspective spotlights drivers of supply and demand, their implication to resource allocation, and the consequence to managers' economic freedom.
- An economic system organizes the production, distribution, and consumption of goods and services.

TYPES OF ECONOMIC SYSTEMS



Source: International Business Environments & Operations - Sixteenth Edition

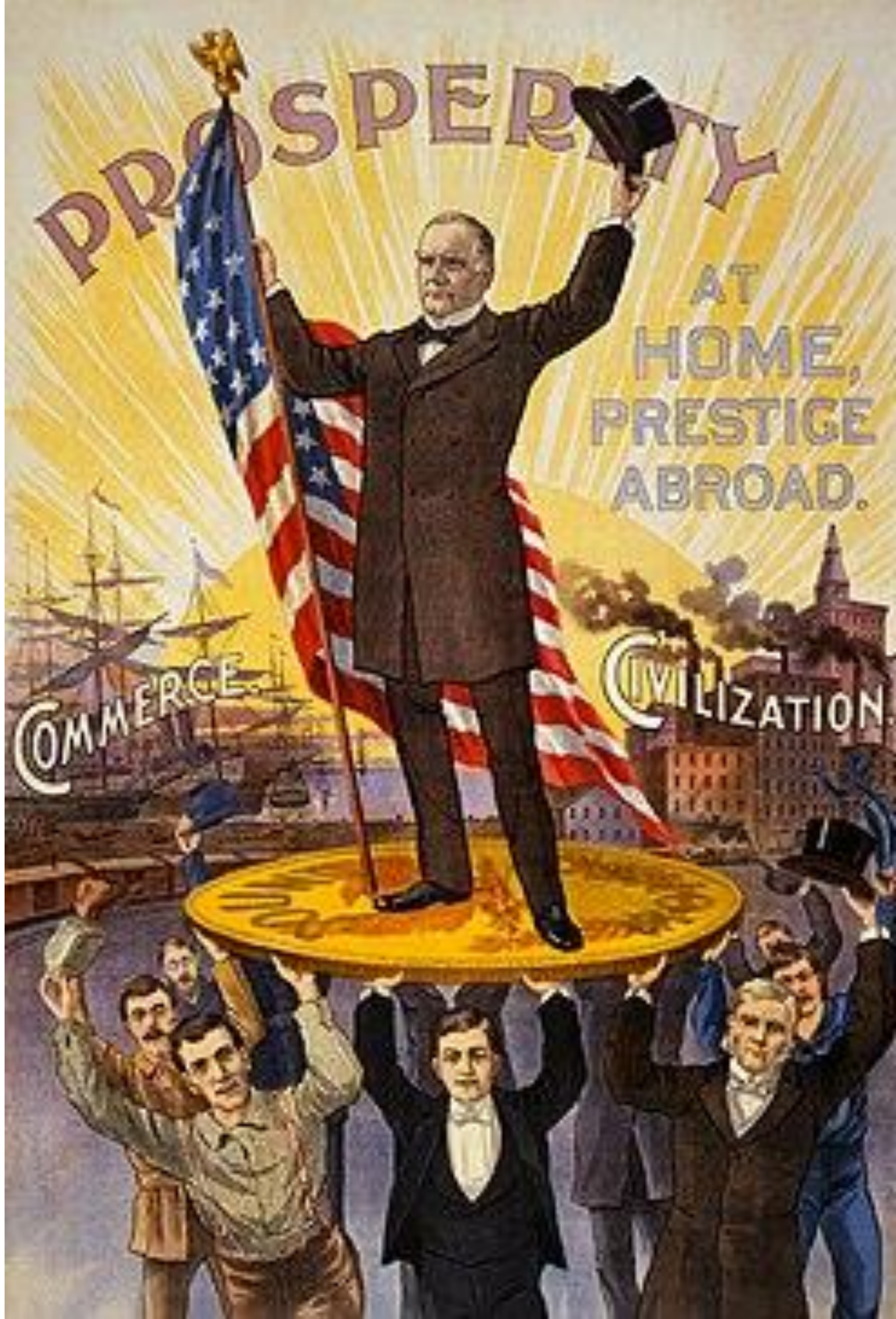
State Capitalist Economies (Authoritarian Capitalism)

- The government controls major industries and resources but uses market tools to grow the economy, not to follow communist ideology, but to maintain political power.

Examples:

- China – Market reforms + strong state control
- Russia – Heavy state control in key sectors (energy, defense)
- Saudi Arabia – State owns large sectors but encourages private investment
- Vietnam – Communist leadership with a growing market economy
- Iran – Government-linked firms dominate the economy

- These countries do not fully fit into command or mixed economies but combine strong state control with selective market practices.



Traditional Economy

- A traditional economy is based on customs, beliefs, and traditions.

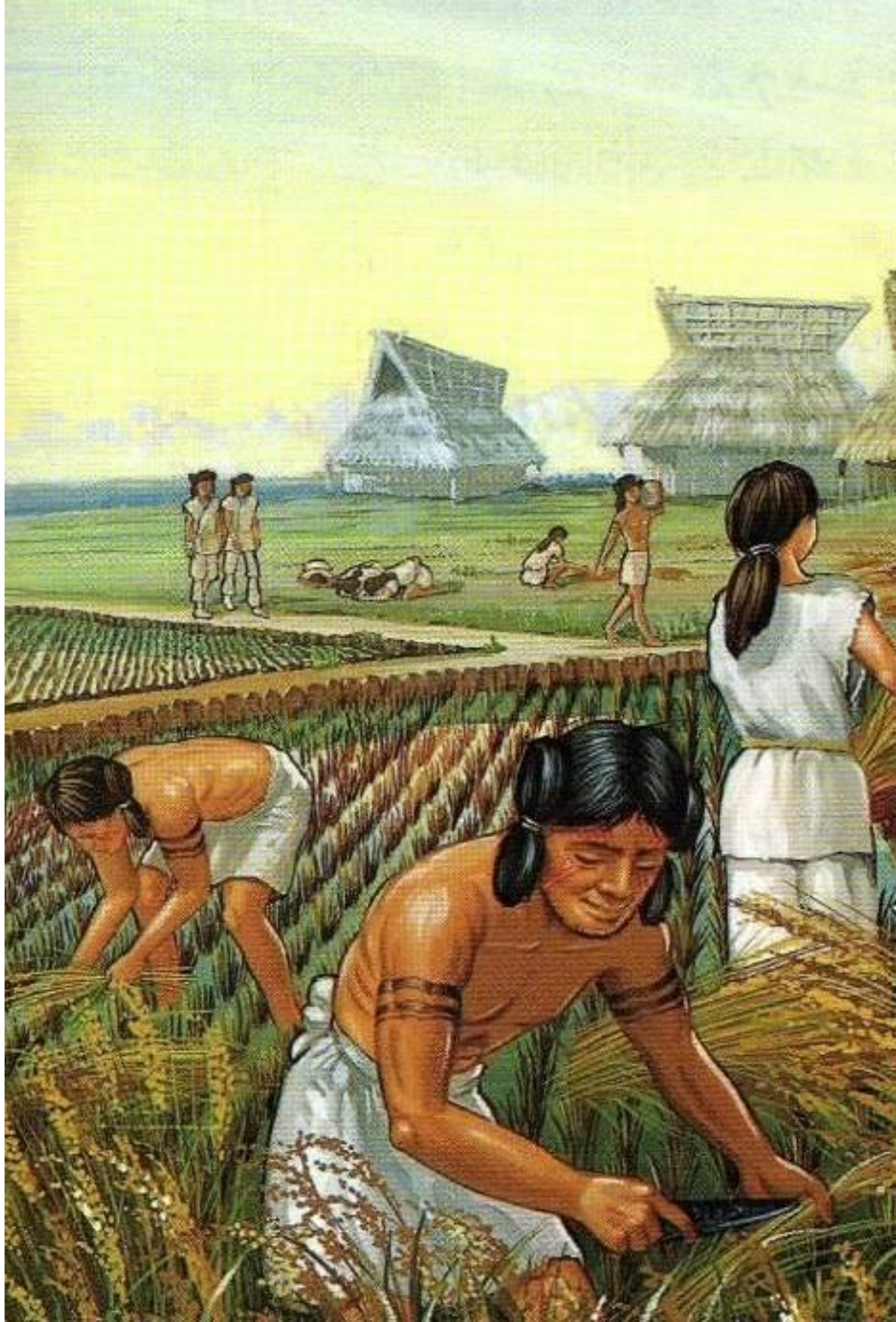
- It's the oldest and most basic form of economic system, relying on agriculture, hunting, fishing, and bartering rather than money.

- Advantages of a Traditional Economy:
  - ✓ Sustainable and environmentally friendly
  - ✓ Strong community ties and social stability
  - ✓ No inflation or economic crises

- Disadvantages of a Traditional Economy:
  - ✓ Lack of technological advancement
  - ✓ Limited economic growth
  - ✓ Highly dependent on nature (droughts and natural disasters can wipe out resources)

- Traditional economies still exist, they are slowly disappearing as globalization and modern industries expand.

❖ Examples: Bhutan, Indigenous communities in South America (Amazon basin tribes), and Parts of Sub-Saharan Africa (like rural Chad, Ethiopia, or Mali).



ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

Monetary Measures

- *Gross National Income (GNI)* – This is the broadest measure of a country's economic performance.

- *Gross Domestic Product (GDP)* – This is the total market value of all output produced within a nation's borders, no matter whether it is generated by a domestic or foreign owned enterprise, over a fixed period of time.

- *Gross National Product (GNP)* - This begins by estimating the market value of goods and services produced in a given year by the labor, assets, and capital supplied by the resident of a country.

ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

Improving Economic Analytics

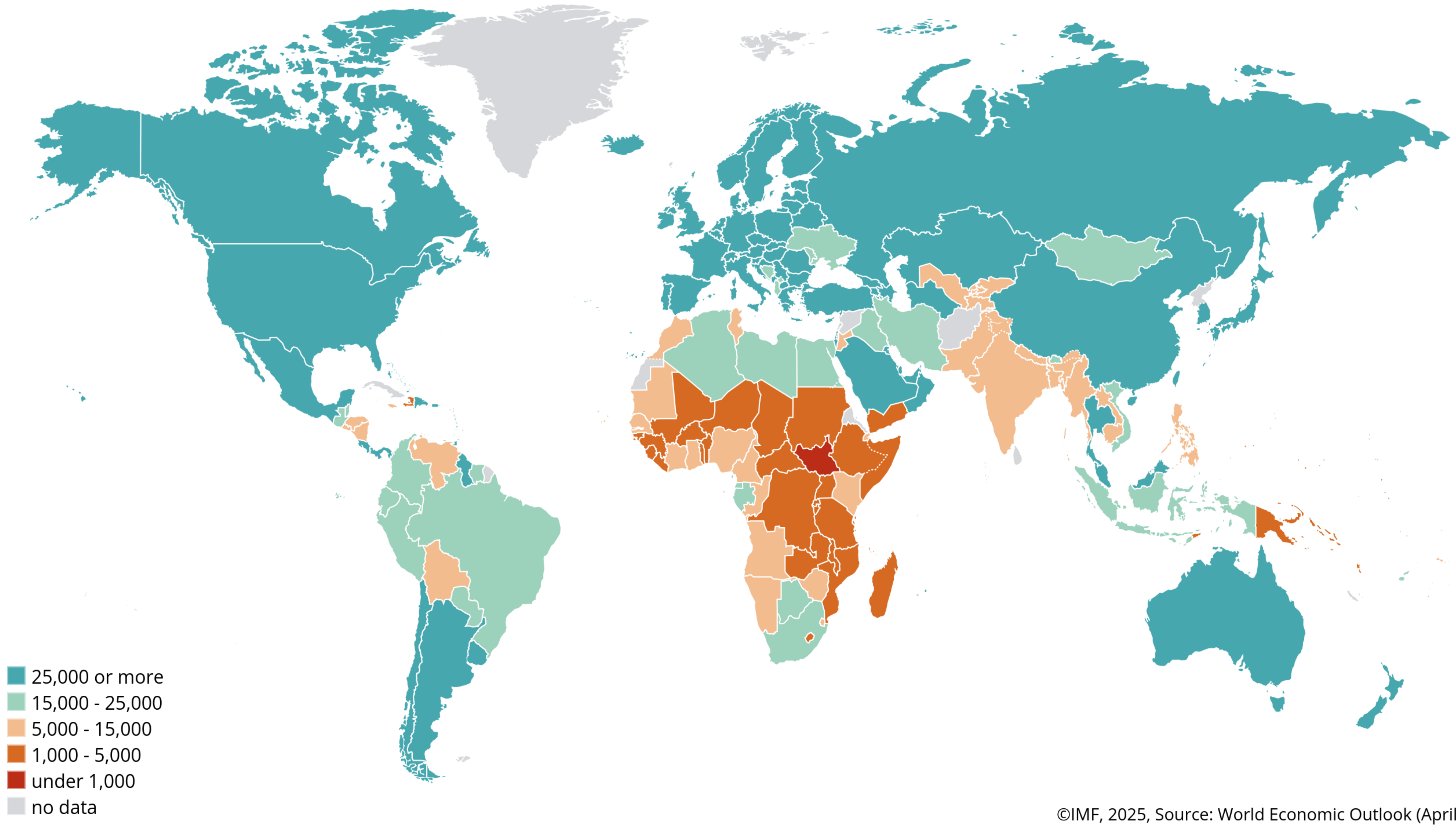
- *Rate of Economic Growth* – This helps managers to identify promising business opportunities.

- *Population Size* – This provides a method of measuring the relative purchasing power of different countries' currencies for the same basket of goods and services.

- *Purchasing Power Parity* –
  - ✓ This means the local cost of living in a country.
  - ✓ Adjusting for PPP controls for differences in the relative cost of living between countries.

ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

IMF DataMapper GDP per capita, current prices (Purchasing power parity; international dollars per capita, 2025)



©IMF, 2025, Source: World Economic Outlook (April 2025)

ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

The Wildcard: The Shadow Economy

- All countries experience the effects of the shadow economy; they are particularly influential in developing economies.

- Found anywhere and everywhere, the shadow economy includes the extra-legal activities and illegal doings that fall beyond official statistics.

- Developed economies, such as Canada, Germany, and the United States, tend to have a smaller shadow economy than developing economies, such as Greece, India, and Mexico.

ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

Sustainability and Stability

Sustainability:

- Green measures economic performance in terms of the effect of current choices on long-term sustainability.

- Estimators of economic progress toward improving happiness include;
  - ✓ Net National Product
  - ✓ Genuine Progress Indicators
  - ✓ Human Development Index

- Sustainability and stability perspectives hold that the objective of economic activity is to create an environment for people to enjoy long, healthy, and happy lives.

ASSESSING ECONOMIC DEVELOPMENT, PERFORMANCE, AND POTENTIAL

Sustainability and Stability

Stability:

- Fully understanding growth, progress, and prosperity calls for assessing the consequences of economic choice on sustainability and stability.

- Estimators of economic progress toward improving happiness include;

  - ✓ Your Better Life Index
  - ✓ Gross National Happiness
  - ✓ Happy Planet Index

ELEMENTS OF ECONOMIC ANALYSIS

- Economics is rich with metrics to measure performance and potential.

❖ Integrating Economic Analysis

- The complexity of modern market systems, both absolute and relative, prevents fully representing the properties of economic environment by evaluating a snapshot of disaggregated components.

- Studying the connections among micro elements of a macro system refines analysis of economic performance and potential.

- Managers often consider meta-models to improve them understanding of the absolute and relative potential of an economic environment.

- Popular indices include;
  - ✓ Global Competitiveness Index
  - ✓ Global Innovation Index
  - ✓ Where-To-Be-Born Index
  - ✓ World Competitiveness Index

ELEMENTS OF ECONOMIC ANALYSIS

❖ Economic Freedom, Innovation, And Competitiveness

- Economic freedom has a strong relationship with a country's relative competitiveness and innovation performance.

Nation	Economic Freedom Score	Type of Economy[129]	Rank, Global Competitiveness Index	Rank, World Competitiveness Index	Rank, Global Innovation Index	Rank, Where-To-Be-Born Index
Singapore	89.4	Developed	2	3	8	6
Australia	81.4	Developed	22	18	19	2
Switzerland	80.5	Developed	1	4	1	1
Canada	79.1	Developed	15	5	11	9
China	78.5	Emerging	28	23	35	49
United States	76.2	Developed	3	1	5	16
Germany	73.8	Developed	5	10	15	16
Japan	73.3	Developed	6	27	22	25
Sweden	72.7	Developed	10	9	2	4
Colombia	71.7	Emerging	66	51	60	42
South Korea	71.5	Developed	26	25	13	19
Malaysia	70.8	Emerging	20	14	32	36
Poland	68.6	Emerging	43	33	49	33
Mexico	66.4	Emerging	61	39	63	39
South Africa	62.6	Emerging	56	53	58	53
Philippines	62.2	Developing	52	41	90	63
Saudi Arabia	62.1	Developing	24	*	42	38
Indonesia	58.1	Emerging	34	42	85	71
Brazil	56.6	Emerging	57	56	64	37
Kenya	55.6	Developing	90	*	99	79
Nigeria	55.6	Developing	127	*	120	80
India	54.6	Emerging	71	44	7	66
Russia	52.1	Emerging	53	45	62	72

Source: International Business Environments & Operations - Sixteenth Edition

Take Home Assignment 01

Find information on the following:

- Major trade blocs and agreements
  i. Regional economic integrations - EU, NAFTA/USMCA, ASEAN, SAARC
  ii. WTO and global trade rules
  iii. How trade blocs affect IT outsourcing, data flows, and digital trade

Submit your answers as a group work.

Group member count – Min 04 and Max 05 participants

Deadline: 20th September 2025